

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-01

Visual Comfort & Co.

v.

COSCO Shipping Lines Co., Ltd.

**RESPONDENT COSCO'S RESPONSES TO
COMPLAINANT VISUAL COMFORT & CO.'S PROPOSED
FINDINGS OF FACT**

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COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) respectfully submits its responses to Complainant Visual Comfort & Co. (“Complainant” or “VCC”) Proposed Findings of Fact (“CPFFs”). Complainant’s Proposed Findings of Fact are reproduced here verbatim, followed by Respondent’s Responses thereto in **bold** typeface.

I. INTRODUCTION

1. On or about January 31, 2024, pursuant to 46 U.S.C. § 41301, VCC filed its Verified Amended Complaint (“Compl.”) against Respondent COSCO Shipping Lines Co., Ltd. (“COSCO”) (collectively, the “Parties”), Compl. ¶ 1.

RESPONSE: Denied. VCC filed its Motion for Leave to File an Amended Complaint on February 5, 2024, and filed and served its Verified Amended Complaint the next day.

2. VCC alleged that it is the consignee of lighting fixtures shipped on COSCO vessels to the U.S. in COSCO ocean shipping and that COSCO transported VCC containers from overseas locations through U.S. ports and on to designated U.S. inland locations., Compl. ¶ 11-13.

RESPONSE: Denied. VCC filed and served its Verified Amended Complaint on February 6, 2024.

3. In connection with COSCO’s carriage of cargo, VCC’s Verified Amended Complaint alleges two separate counts in violation of the Shipping Act:

- (a) Violation of 46 U.S.C. § 41102(c);
- (b) Violation of 46 U.S.C. § 41102(a)(10). Compl. ¶¶ 34-49.

RESPONSE: Admitted that VCC’s Verified Amended Complaint alleges violations of 46 USC §§ 41102(c) and (a)(10).

4. Since 2020, VCC has sought reparations from COSCO in connection with the payment individual demurrage charges on 419 individual containers. App'x at CX 558 (McCown Report) ¶ 77.

RESPONSE: Denied in part, admitted in part. [REDACTED]
[REDACTED]
[REDACTED] **RX2-RX21, Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, Admission at 8. Denied as there is no evidence that any demurrage charge on any of the 419 individual containers VCC alleges was ever paid to COSCO. Further denied inasmuch as CPFF4 is denied as nonsensical; it is impossible that VCC have sought reparations from COSCO since 2020, before VCC alleged it would have been charged (in 2021 and 2022).**

5. After fact and expert discovery, VCC's direct damages, all of which are allegedly improper accessorial charges levied by COSCO and paid by VCC, are \$1,161,807.00. App'x at CX 560 (McCown Report) ¶ 83.

RESPONSE: Denied that VCC has suffered any direct damages. Further denied that the alleged improper accessorial charges were levied by COSCO, as there is no evidence of that. Further denied that the alleged improper accessorial charges were paid by VCC to COSCO, as VCC has provided no evidence proving payment. Further denied that COSCO has levied any improper accessorial charges. Finally, denied as the McCown Report double counts alleged payments VCC has made. RX82-RX83, RX96, Hackett Rpt. at 42-43, 56.

6. VCC also seeks recovery for attorney fees and applicable pre- and post-judgment interest. Compl. Prayer for Relief ¶ 3.

RESPONSE: Admitted that Complainant seeks the identified categories of damages.

II. THE PARTIES

A. Complainant Visual Comfort & Co.

7. VCC is a corporation organized and existing under the laws of Texas, with a principal place of business at 22400 Northwest Lake Drive, Houston, TX 77095. Compl. ¶ 6. VCC is a “shipper” pursuant to 46 U.S.C. 40102(23). *Id.*

RESPONSE: Admitted.

8. Since its formation in 1987, VCC has been the premier distributor of lighting products such as designer lighting, lamps, and ceiling fixtures in North America. *Id.*; App’x at CX 367 (O’Toole Dep.) 18:20-2.

RESPONSE: Admitted that VCC is a company that distributes lighting products in North America.

9. VCC has obtained a valid assignment of its reparations claim from its non-vessel-operating common carrier (“NVOCC”) RIM Logistics, who invoiced VCC for the Charges as a pass-through as to the Charges invoiced by COSCO. App’x at CX 1238 (Assignment of Claims Agreement with R.I.M.).

RESPONSE: Admitted in part, denied in part. Admitted that VCC obtained an assignment of claims only from R.I.M. Logistics, Ltd. (“RIM”), an FMC-licensed NVOCC and freight forwarder and licensed Customs’ broker. Denied that VCC has obtained an assignment of claims from RIM for any other claims than those alleged in the Complaint. Denied that VCC has obtained any assignment of claims from any other entity to which VCC alleges it has paid any alleged (undefined) “Charges.”

B. Respondent COSCO Shipping Lines Co., Ltd.

10. Upon information and belief, Respondent COSCO was established in 2016, and is a Chinese global ocean carrier located at No. 378 Dong Da Ming Road, Shanghai, 200080,

People's Republic of China with its U.S. office/general agent located at 100 Lighting Way, Secaucus, NJ 07094. Answer ¶ 7. COSCO offers container transportation in 144 counties and serves multiple ports in the United States. *Id.*

RESPONSE: Admitted.

11. COSCO is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with FMC organization number 015614, and is subject to regulation by the FMC. *Id.*

RESPONSE: Admitted.

12. COSCO is a leading global container liner shipping company. *Id.* ¶ 8; Compl. ¶ 8. Based upon shipping capacity, COSCO is believed to be the third-largest carrier in the world. *Id.* COSCO is a member of the OCEAN Alliance, the second-largest global shipping alliance representing 16% of global capacity. *Id.*

RESPONSE: Admitted.

III. COSCO'S MOVEMENT OF VCC CARGO

13. Based on anticipated consumer demand for lighting products, VCC places orders with overseas factories for the manufacturing and production of said products, then its logistics team would work with its Asia office to secure containers and space on ships. App'x at 39 (Hirschel Dep.) 38:1-22.

RESPONSE: Denied. There is no evidence in the record that VCC or its Asia office itself "secure[d] containers and space on ships." VCC did not have a service contract with COSCO. Indeed, Gary Hirschel clarified that VCC's logistics team would do the booking of cargo. CX39, Hirschel Dep. at 37:22-38:21. Mr. Hirschel did not testify that VCC's logistics team or its Asia office contracted directly with any ocean carriers. Rather, as Mr. O'Toole testified, VCC found it "more beneficial financially for us to book containers through our NVO partners." CX439-440, O'Toole Dep. at 90:20-91:3. COSCO cannot say exactly how

VCC may have “relied on NVOCC partners” at origin or how its U.S. NVOCCs “engaged” with the NVOCCs at origin. [REDACTED] (“[REDACTED] RX176-191. Some of those NVOCCs at origin may have had service contracts with COSCO. CX476, O’Toole Dep. at 127:2-4; CX478, O’Toole Dep. at 129:3-6.

14. VCC’s primary ports used to import its cargo include Los Angeles, CA; Long Beach, CA; ports of New York and New Jersey; and Houston, TX. App’x at CX 376 (O’Toole Dep.) 27:3-13.

RESPONSE: Admitted. VCC also used ports in Canada to import its cargo. CX376, O’Toole Dep. at 27:3-13 (“Q: Do you recall in 2021, which ports VCC used to import its cargo? A: Yes. The ports of Los Angeles and Long Beach, ports of New York, New Jersey, Houston, Texas, Prince Rupert...Vancouver...Savannah, Seattle, Oakland.”)

15. Over the course of 2021 and 2022, VCC operated four distribution centers¹ in the United States, and partnered with third parties for short-term warehousing. *Id.* at 56:6-21.

RESPONSE: Admitted.

16. VCC’s process for handling inbound loaded ocean containers includes engaging a drayage provider to transport loaded containers from the terminal to a container facility, which would unload, palletize, and prepare the products for order fulfillment. App’x at 408 (O’Toole Dep.) 59:2-22.

RESPONSE: Respondent lacks information sufficient to admit or deny. Respondent has no independent knowledge regarding VCC’s process for handling inbound loaded ocean containers. Respondent is certain, however, that VCC never had any service contract with

¹ VCC’s operated distribution centers in Skokie, IL; Houston, TX; Las Vegas, NV; and Burlington, NJ. App’x CX 405 (O’Toole Dep.) 56:17-21.

COSCO for the transport for any of the alleged shipments in dispute, nor did RIM have any agreement with COSCO requiring it to transport VCC’s cargo from the port of delivery in the United States to VCC’s warehouse or distribution center.

17. VCC tracks all of its shipments by container number. App’x at CX 74 (Hirschel Dep.) 73:16-22.

RESPONSE: Respondent lacks information sufficient to admit or deny. Respondent has no insight into how VCC internally tracks its shipments. Notably, nothing in Mr. Hirschel’s cited testimony supports the assertion in CPFF17 that VCC tracks its shipments *by container number*.

18. As a consignee, VCC does not contract directly with ocean carriers such as COSCO. Rather, VCC partners with NVOCCs. App’x at CX 370 (O’Toole Dep.) 21:9-19.

RESPONSE: Admitted in part, denied in part. [REDACTED]

[REDACTED] RX4, Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests, May 31, 2024, Admissions 2 and 3 at 3. Denied as to whether VCC was a “consignee” on RIM or other NVOCC house bills of lading, as none were ever produced in discovery. COSCO also lacks information sufficient to admit or deny precisely how VCC “partners with NVOCCs.”

19. VCC’s contract with its NVOCC RIM would be renegotiated annually, but the negotiated rates for ocean transportation did not change between 2020 and 2022. Id. at 32:14-20. Accordingly, detention and demurrage charges by COSCO would be charged to VCC by its NVOCCs as pass-thorough charges, meaning that there were no markups on any charge by the NVOCC. Id. at 38:18-39:9.

RESPONSE: Denied. [REDACTED] RX176-RX191 (NSA May 2020-April 2021 and NSA May 2021-April 2022.). Further denied to the extent VCC's NSA with RIM did indicate the demurrage and detention free time RIM provided to VCC. Nothing in the NSA produced to COSCO states what VCC would pay to RIM for ocean freight, and therefore COSCO lacks sufficient to admit or deny whether negotiated rates for ocean transportation did or did not change between 2020 and 2022. Respondent notes, however, that an overwhelming majority of charges alleged by VCC as originating with COSCO were actually charges from third-party entities, such as railroads, warehouses, etc. CX1221-1237 (untitled column appearing to indicate payees).

20. Because it did not have direct contract with COSCO, VCC was dependent upon RIM and other NVOCCs to execute any type of communication with COSCO. For example, if VCC needed additional free time it would communicate that to RIM, who would then convey the request to COSCO. App'x at CX 391-2 (O'Toole Dep.) 42:6-43:10.

RESPONSE: Denied. Denied that VCC, its hired drayage truckers, or its NVOCCs were ever precluded from contacting COSCO itself. Moreover, with respect to the shipments at issue, neither RIM nor VCC was a service contract party with COSCO. Mr. O’Toole specifically testified that VCC did not contract with any ocean carriers in 2021 or 2022 because VCC did not wish to do so. CX373, O’Toole Dep. at 24:7-12. COSCO denies that it had a service contract with RIM relating to the Subject Shipments, and no such contract has been produced by VCC to demonstrate otherwise. As it lacks sufficient information as to what the relationship between VCC and RIM might have been, beyond the NSAs in the record, Respondent can neither admit nor deny whether VCC may have told RIM to do something,

or whether RIM actually did what it told VCC that it was going to do.

21. At all relevant times, VCC's business practice was to make every effort to collect and return containers as quickly as possible to avoid detention and demurrage charges. App'x at CX 417 (O'Toole Dep.) 68:19-21; 74:18-75:6. Nor was it VCC's practice to ever abandon cargo. *Id.* at 148:3-7; App'x at CX 37 (Hirschel Dep.) 36:8-10.

RESPONSE: Denied that VCC “ma[d]e every effort” to turn around containers “as quickly as possible.” [REDACTED]

[REDACTED] RX111-RX136, VCC010747-VCC010772. VCC was also made aware of the last free day pertaining to the return of empty containers [detention] by its NVOCC partners. CX479, O'Toole Dep. at 130:1-4. VCC kept full containers at its Burlington, New Jersey distribution center yard. CX512, O'Toole Dep. at 163:17-22. It was also VCC's practice to keep loaded containers at the yard of its drayage trucker. CX1214. VCC's truckers lacked chassis to pick up full containers at marine terminals. CX1211. Moreover, § [REDACTED]

§ [REDACTED] § [REDACTED] § [REDACTED]

§ [REDACTED] RX144-RX145, VCC013420-VCC013421.

22. Additionally, NVOCCs – such as RIM – had no reason to delay informing VCC of cargo arrivals. App’x at CX 286 (McCown Dep.) 183:20-184:6. RIM does not mark up the accessorial charges levied on VCC by COSCO. App’x at CX 387 (O’Toole Dep.) at 38:18-39:9.

RESPONSE: Denied that COSCO imposed any of the alleged charges at issue. Respondent lacks information sufficient to admit or deny the internal operations of non-party RIM. Moreover, neither RIM nor VCC was a service contract party with COSCO, thus, no service

contract existed between RIM/VCC and COSCO. With respect to whether or not VCC's NVOCCs had any reason to delay informing VCC of cargo arrivals (or accessibility), Mr. McCown did not consider whether RIM had any incentive to do so as he asserts RIM was not responsible for payment of any late charges and merely "passed through" charges from other third parties. When asked at deposition, VCC's Mr. Hirschel could not testify as to whether or not RIM "passed through" any charges to VCC or charged its own rates. CX68-CX69, Hirschel Dep. at 66:7-67:1. Mr. O'Toole based his understanding on whether a charge was "passed through" without any changes on what representatives of RIM told him. CX388, O'Toole Dep. at 39:5-20. Nothing in Complainant's appendix supports this assertion.

23. At all relevant times, COSCO utilized a Consumer Portal for customer service needs. App'x at CX 691 (Takase Dep.) 20:7-21:15.

RESPONSE: Admitted that Respondent used – and still uses – numerous consumer portals for different customer service needs.

24. However, the Consumer Portal was not used for disputes regarding detention and demurrage charges, for which consumers were required to email COSCO's per diem department in Shanghai at shaperdiem@coscon.com. *Id.* at 22:13-23:17.

RESPONSE: Denied. Complainant mischaracterizes the deposition testimony of COSCO North America Vice President Tom Takase and omits critical portions of his testimony. When asked by VCC, "[I]n the event a U.S. customer needed to contact COSCO about per diem charges, would it use the e-mail address or the Customer Service Portal?" Mr. Takase responded: "If it's a direct dispute against an issued invoice for detention or per diem, the instructions on the invoice are to e-mail the Shanghai per diem e-mail address. However, *any customer service inquiry can be sent to us.*" CX694, Takase Dep. at 23:2-11 (emphasis added).

Not only was the Consumer Portal used for disputes regarding demurrage and detention, but customers were also not required to email COSCO's per diem department in Shanghai. Moreover, "shaperdiem@coscon.com" is a distribution list, meaning that emails to that address are distributed to appropriate COSCO employees. CX694 (Takase Dep.) at 12-21.

25. COSCO failed to search email addresses relevant to VCC's disputes as requested in VCC's Supplemental Requests for Production. App'x at CX 819 (Takase Dep.) 148:5-20.

RESPONSE: Denied. Complainant's statement not only mischaracterizes the deposition testimony of Mr. Takase, but is also patently false. Mr. Takase testified that emails from shaperdiem@coscon.com were collected, reviewed, and produced for purposes of this litigation. CX695, 697 (Takase Dep.) at 24:2-16, 26:1-6. Mr. Takase further testified that emails produced through COSCO's customer portal and internal COSCO emails were produced. CX689-691 (Takase Dep.) at 18:17-22, 19:1-22, 20:1-20.

IV. COSCO'S CONTRIBUTION TO CONTAINER DELAYS

A. COVID-19 Pandemic

26. During the relevant time period, consumer demand increased dramatically. This resulted in a temporary increase in U.S. imports.

RESPONSE: Admitted.

27. During the Covid-19 Pandemic (the "pandemic"), VCC diversified its primary ports used to import its cargo, including Los Angeles, Long Beach, ports of New York and New Jersey, Houston, Savannah, Seattle, and Oakland. App'x at CX 376 (O'Toole Dep.) at 27:3-13.

RESPONSE: Denied. VCC also used the Canadian ports of Prince Rupert and Vancouver to import its cargo into the United States. *See supra*, Response to CPFF14. Otherwise, Respondent lacks sufficient knowledge of VCC's internal operations to admit or deny.

28. VCC never shut down its operations the pandemic because it was deemed an essential member of the construction sector because it supplies lighting fixtures to builders. App'x at CX 22 (Hirschel Dep.) 21:1-3.

RESPONSE: Denied. Respondent lacks sufficient knowledge of VCC's internal operations.

29. During the pandemic, increased container demand resulted in more ocean carrier vessels arriving to port than pre-pandemic numbers. A consequence of this increased volume was "vessel bunching." App'x at CX 433 (O'Toole Dep.) 84:15-16. Vessel bunching is where a long queue of ships waiting to get into the port for unloading, which impacted unloading schedules. *Id.* at 70:18-24.

RESPONSE: Admitted.

B. COSCO Ordered Ships to Depart Under Container Capacity

30. Vessel bunching on its own would not create the chaos experienced by ports and terminals during the relevant time period. App'x at CX 184 (McCown Dep.) 81:17-21.

RESPONSE: Admitted.

31. The dispositive action was COSCO's business decision to order vessels to leave port after unloading cargo, but before reloading empty containers. *Id.* 73:19-74:16.

RESPONSE: Denied. Complainant's source for this purported "fact," is VCC Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. As explained by Rebuttal Expert Mr. Hackett, Mr. McCown assigns an unreasonable level of blame to ocean carriers for the accumulation of empty outbound containers. RX90, Hackett Rpt. at 50. Mr. McCown's facile assertion that simply keeping vessels in port long enough to reload empty containers would have prevented congestion belies his lack of

expertise as to current, large vessel operations. [I]t was the surge in import volumes that the ports were handling that was driving the increase in the buildup of empty containers.” RX91, Hackett Rpt. at 51. Moreover, the reason a vessel would leave port without a full complement of empty containers is in part due to an attempt to adhere to a schedule. Although carriers would have preferred a fully laden back-haul return trip so that the empty containers could be refilled for the more profitable head-haul voyage, such high capacity was impossible when weighed against practical considerations, including that voyages were already off-schedule, in-land supply chain issues were impacting empty container return, and container terminals were congested with inbound and outbound containers. RX90-91, Hackett Rpt. at 50-51.

32. Vessels would not stay long enough to load empty containers, which caused widespread congestion, delays, and fees for consignees. App’x at CX 422 (O’Toole Dep.) 73:1-9. When vessels departed before sweeping for empty containers, or below vessel utilization, those empty containers built up and clogged ports and terminals. App’x at CX 433 (O’Toole Dep.) 84:20-86:3.

RESPONSE: Denied. See Response to CPFF31. Moreover, Thomas O’Toole (VCC) admitted that ocean carriers such as COSCO waiting at the ports longer would not have sped up the delivery of VCC’s cargo but would have done the opposite. CX422, O’Toole Dep. at 73:16-19. COSCO was operating “near [100 percent] or high 90 percent” capacity utilization on routes from Asia to North America in 2021 and 2022, meaning that COSCO was taking advantage of full utilization of the container space on board the vessel whether loaded containers or empty containers. CX789, Takase Dep. at 118:2-14.

C. Consequences of COSCO’s Failures to Manage Shipping Needs

1. Shortages

33. After COSCO's decision to release outbound vessels prior to loading empty containers, a container equipment shortage developed because containers were being unnecessarily and unexpectedly brought out of circulation and not returned to their ports of origin. *Id.*

RESPONSE: Denied. See Response to CPFF31, 32. Specifically denied that the container equipment shortage was in any way a consequence of Respondent's decision to "release" outbound vessels that had not been refilled to capacity. It was much more efficient to do what COSCO did, which was deploy special vessels ("sweepers") dedicated to repositing empty containers back to Asia. RX91, Hackett Rpt. at 51; RX375, Hackett Dep. at 159:8-18.

34. COSCO admits that there is a need for empty containers to be returned to the Asian market to be able to load imports coming back to the United States. App'x at CX 791 (Takase Dep.) 120:6-8.

RESPONSE: Admitted.

35. COSCO, as an ocean carrier, is responsible for providing and replacing containers. App'x at CX 175 (McCown Dep.) 72:7-19. At all times during the relevant time period, COSCO had the information and capability to both prepare for and respond to container shortages. App'x at CX 433 (O'Toole Dep.) 84:20-86:3.

RESPONSE: Denied. Complainant's source for this purported "fact," is VCC Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. COSCO was not responsible whatsoever for the container equipment shortage. Here, Mr. McCown grossly understates the impact of the COVID-19 pandemic on the global supply chain by suggesting that carriers could have reacted quickly to equipment shortages. The suggestion that carriers could have planned for the unprecedented pandemic pandemonium

is unreasonable and disingenuous. Furthermore, Mr. McCown also downplays the delays in ordering new containers during the crisis at a time when every carrier also sought additional containers. Constrained capacity (due to vessel delays) and spiking demand meant that carriers needed more containers period. In fact, in 2021, “The container shipping industry is currently seeing unprecedented demand, which has led to a shortage of containers all over the world.” RX89-90, Hackett Rpt at 49-50.

36. COSCO is therefore the “author of their own injury.” App’x at CX 180 (McCown Dep.) 77:4.

RESPONSE: Denied. Respondent incorporates by reference its response to CPFF35.

37. It would have required zero capital investment for COSCO to adequately load empty containers onto its outbound vessels, and doing so would have abated VCC’s unreasonable detention and demurrage fees as well as the general congestion experienced by U.S. ports. *Id.* at 75:19-74:16.

RESPONSE: Denied. *See supra*, Response to CPFF35. Complainant’s source for this purported “fact,” is VCC Expert Witness John McCown, who lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Such congestion was the result of many factors, including the surge in import containers combined with the domestic supply chain difficulties (which included a shortage of truck chassis, a shortage of truck drivers, a shortage of warehouse space, and a shortage of warehouse workers) that decreased the efficiency with which containers were picked up from and returned to terminals. As a result, ocean carriers were required to release outbound vessels below capacity. RX91, Hackett Rpt. at 51. As VCC’s Director of Logistics Thomas O’Toole admitted, ocean carriers such

as COSCO waiting at the ports would not have sped up the delivery of VCC's cargo but would have done the opposite. CX422, O'Toole Dep. at 73:16-19.

38. COSCO also experienced staffing shortages during the relevant time period. Its Shanghai office had the authority to remedy those staffing shortages. App'x at CX 726-8 (Takase Dep.) 55:8-57:14. The same staffing shortages could be attributable to delays in responses to consumer inquiries, cargo flow, and even the release of containers. *Id.* at 57:1-14.

RESPONSE: Denied. Denied that COSCO, writ large, was experiencing staffing shortages during 2021 and 2022. Complainant mischaracterizes the deposition testimony of COSCO Shipping Lines (North America), Inc. Vice President Tom Takase. When Mr. Takase was asked directly by counsel whether there were "issues relating to staffing shortages *in your department* in the last four years" (emphasis added), he responded, "I believe we're always short-staffed I guess, just like anybody else – but yes." CX727, Takase Dep. at 56:2-7. Mr. Takase was clearly responding to a question about his department, not about COSCO generally. Moreover, Mr. Takase further testified that over the past four years "staffing was pretty consistent." CX727, Takase Dep. at 56:2-12. Although Respondent admits there were at times staffing shortages in COSCO Shipping Lines (North America), Inc. North American Operations Center, which could cause "delays in responses back to customer inquiries and any other back-end functions as far as monitoring cargo flow," COSCO nevertheless has a policy to "adjust the demurrage or detention accordingly" by "credit[ing] the customer that day or extend the free time a day to compensate for the error" if such error was the fault of a delay caused by any COSCO employee. CX728, Takase Dep. 57:5-58:9.

39. However, COSCO did not maintain any written policies regarding the waiver of

fees resulting from delayed response or staffing shortages. *Id.* at 141:18-142:6.

RESPONSE: Denied. It is absolutely COSCO policy to credit a customer for any charges incurred as a result of COSCO's own error. Complainant again mischaracterizes Mr. Takase's deposition testimony. When asked whether the waiver of fees resulting from delayed responses or staffing shortages was a written policy, Mr. Takase responded "I'm not sure if it's a written policy, but any clerical staff that's running into any kind of issues that are outside of normal operations, they should be reported so that we can have a resolution for the customer, an appropriate one." CX812, Takase Dep. at 141:8-142:6.

40. VCC experienced difficulty not only retrieving loaded containers from the ports, but also returning empty containers. This led to increased detention and demurrage charges, as well as storage congestion in VCC's own yards. App'x at CX 418 (O'Toole Dep.) 69:6-9.

RESPONSE: Admitted that VCC experienced difficulty retrieving loaded containers and returning empties. Further admitted that the difficulties VCC had led to congestion in its warehouses and yards. For example, there were instances where VCC's Burlington, New Jersey distribution center could not accommodate additional loaded containers. CX418, O'Toole Dep. at 69:12-15. As a result of VCC mismanagement of its shipments, which included the retrieval of its loaded containers via NVOCCs and the return of empty containers via NVOCCs and drayage carriers VCC has hired, VCC's detention and demurrage charges naturally increased. VCC hired a consultant to help it improve management at its warehouses and distribution centers. CX53, Hirschel Dep. at 49:22-50:11.

2. Port Terminal Congestion

41. Despite actual knowledge that many large U.S. ports were severely congested,

COSCO continued to route shipments to the same major ports most likely because COSCO had its lowest rate contracts with those high-volume ports. *Id.* at 91:18-93:3.

RESPONSE: Denied. First, the (ambiguous) citations – to either O’Toole’s or Hirschel’s depositions – offered to support CPFF41 do not support Complainant’s assertion regarding what COSCO may have paid to terminals for services to COSCO (“rate contracts with those high-volume ports”). Further denied because COSCO vessels sail on predetermined schedules which cannot easily be altered. Further denied because carriers do not carry cargo to ports to which their customers do not wish the cargo to arrive. CX447, O’Toole Dep. at 98:9-16. VCC’s distribution centers were in New Jersey, Nevada, Houston, and Illinois. As Mr. O’Toole stated, VCC preferred that its cargo arrive at the port closest to VCC’s distribution centers [i.e., the ports of Los Angeles/Long Beach, New York/New Jersey, and Houston] to “keep drayage trucking costs low.” CX419, O’Toole Dep. at 70:9-15.

42. Even when VCC or its representatives requested cargo diversions, such requests were ignored and denied. App'x at CX 1180 (COSCO 000266).

RESPONSE: Denied. As a preliminary matter, VCC stated that it never made a change in destination or diversion request directly to COSCO. CX447-CX448, O’Toole Dep. at 98:21-99:2. Furthermore, VCC has not produced any evidence that VCC’s representatives timely requested any cargo diversions whatsoever. Instead, [REDACTED]

1. 2. 3. 4. 5. 6. 7. 8. 9. 10. 11. 12. 13. 14. 15. 16. 17. 18. 19. 20. 21. 22. 23. 24. 25. 26. 27. 28. 29. 30. 31. 32. 33. 34. 35. 36. 37. 38. 39. 40. 41. 42. 43. 44. 45. 46. 47. 48. 49. 50. 51. 52. 53. 54. 55. 56. 57. 58. 59. 60. 61. 62. 63. 64. 65. 66. 67. 68. 69. 70. 71. 72. 73. 74. 75. 76. 77. 78. 79. 80. 81. 82. 83. 84. 85. 86. 87. 88. 89. 90. 91. 92. 93. 94. 95. 96. 97. 98. 99. 100. 101. 102. 103. 104. 105. 106. 107. 108. 109. 110. 111. 112. 113. 114. 115. 116. 117. 118. 119. 120. 121. 122. 123. 124. 125. 126. 127. 128. 129. 130. 131. 132. 133. 134. 135. 136. 137. 138. 139. 140. 141. 142. 143. 144. 145. 146. 147. 148. 149. 150. 151. 152. 153. 154. 155. 156. 157. 158. 159. 160. 161. 162. 163. 164. 165. 166. 167. 168. 169. 170. 171. 172. 173. 174. 175. 176. 177. 178. 179. 180. 181. 182. 183. 184. 185. 186. 187. 188. 189. 190. 191. 192. 193. 194. 195. 196. 197. 198. 199. 200. 201. 202. 203. 204. 205. 206. 207. 208. 209. 210. 211. 212. 213. 214. 215. 216. 217. 218. 219. 220. 221. 222. 223. 224. 225. 226. 227. 228. 229. 230. 231. 232. 233. 234. 235. 236. 237. 238. 239. 240. 241. 242. 243. 244. 245. 246. 247. 248. 249. 250. 251. 252. 253. 254. 255. 256. 257. 258. 259. 260. 261. 262. 263. 264. 265. 266. 267. 268. 269. 270. 271. 272. 273. 274. 275. 276. 277. 278. 279. 280. 281. 282. 283. 284. 285. 286. 287. 288. 289. 290. 291. 292. 293. 294. 295. 296. 297. 298. 299. 300. 301. 302. 303. 304. 305. 306. 307. 308. 309. 310. 311. 312. 313. 314. 315. 316. 317. 318. 319. 320. 321. 322. 323. 324. 325. 326. 327. 328. 329. 330. 331. 332. 333. 334. 335. 336. 337. 338. 339. 340. 341. 342. 343. 344. 345. 346. 347. 348. 349. 350. 351. 352. 353. 354. 355. 356. 357. 358. 359. 360. 361. 362. 363. 364. 365. 366. 367. 368. 369. 370. 371. 372. 373. 374. 375. 376. 377. 378. 379. 380. 381. 382. 383. 384. 385. 386. 387. 388. 389. 390. 391. 392. 393. 394. 395. 396. 397. 398. 399. 400. 401. 402. 403. 404. 405. 406. 407. 408. 409. 410. 411. 412. 413. 414. 415. 416. 417. 418. 419. 420. 421. 422. 423. 424. 425. 426. 427. 428. 429. 430. 431. 432. 433. 434. 435. 436. 437. 438. 439. 440. 441. 442. 443. 444. 445. 446. 447. 448. 449. 450. 451. 452. 453. 454. 455. 456. 457. 458. 459. 460. 461. 462. 463. 464. 465. 466. 467. 468. 469. 470. 471. 472. 473. 474. 475. 476. 477. 478. 479. 480. 481. 482. 483. 484. 485. 486. 487. 488. 489. 490. 491. 492. 493. 494. 495. 496. 497. 498. 499. 500. 501. 502. 503. 504. 505. 506. 507. 508. 509. 510. 511. 512. 513. 514. 515. 516. 517. 518. 519. 520. 521. 522. 523. 524. 525. 526. 527. 528. 529. 530. 531. 532. 533. 534. 535. 536. 537. 538. 539. 540. 541. 542. 543. 544. 545. 546. 547. 548. 549. 550. 551. 552. 553. 554. 555. 556. 557. 558. 559. 560. 561. 562. 563. 564. 565. 566. 567. 568. 569. 570. 571. 572. 573. 574. 575. 576. 577. 578. 579. 580. 581. 582. 583. 584. 585. 586. 587. 588. 589. 590. 591. 592. 593. 594. 595. 596. 597. 598. 599. 600. 601. 602. 603. 604. 605. 606. 607. 608. 609. 610. 611. 612. 613. 614. 615. 616. 617. 618. 619. 620. 621. 622. 623. 624. 625. 626. 627. 628. 629. 630. 631. 632. 633. 634. 635. 636. 637. 638. 639. 640. 641. 642. 643. 644. 645. 646. 647. 648. 649. 650. 651. 652. 653. 654. 655. 656. 657. 658. 659. 660. 661. 662. 663. 664. 665. 666. 667. 668. 669. 670. 671. 672. 673. 674. 675. 676. 677. 678. 679. 680. 681. 682. 683. 684. 685. 686. 687. 688. 689. 690. 691. 692. 693. 694. 695. 696. 697. 698. 699. 700. 701. 702. 703. 704. 705. 706. 707. 708. 709. 710. 711. 712. 713. 714. 715. 716. 717. 718. 719. 720. 721. 722. 723. 724. 725. 726. 727. 728. 729. 730. 731. 732. 733. 734. 735. 736. 737. 738. 739. 740. 741. 742. 743. 744. 745. 746. 747. 748. 749. 750. 751. 752. 753. 754. 755. 756. 757. 758. 759. 760. 761. 762. 763. 764. 765. 766. 767. 768. 769. 770. 771. 772. 773. 774. 775. 776. 777. 778. 779. 780. 781. 782. 783. 784. 785. 786. 787. 788. 789. 790. 791. 792. 793. 794. 795. 796. 797. 798. 799. 800. 801. 802. 803. 804. 805. 806. 807. 808. 809. 810. 811. 812. 813. 814. 815. 816. 817. 818. 819. 820. 821. 822. 823. 824. 825. 826. 827. 828. 829. 830. 831. 832. 833. 834. 835. 836. 837. 838. 839. 840.

[REDACTED]
CX1180-CX1183, COSCO_000266-COSCO_000269. [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

43. Rather than provide alternative routing solutions, COSCO instead created inflated rate systems.

RESPONSE: Denied. First, Complainant fails to cite any evidence to support this proposed fact. Second, COSCO denies that it “created inflated rate systems,” whatever that means.

3. Inability to Return Empties

44. Due at least in part to the influx in cargo and delays associated with vessels departing prior to loading empties, appointments to return empty containers became widely unavailable. App’x at CX 434 (O’Toole Dep.) 85:16-86:3. COSCO began attaching everchanging rules to container returns, such as one-per-one swaps and double moves, which added further detriment to VCC’s efforts to avoid COSCO’s own inflated fees. *Id.*

RESPONSE: Denied. First, COSCO was doing everything within its power during the pandemic to help alleviate port congestion and to pick up empty containers, including deploying “sweeper vessels.” RX91, Hackett Rpt. at 51. Second, it was not COSCO but instead, the terminals, who required the return of an empty container to pick up a loaded container, otherwise known as a one-for-one swap, dual transaction, or dual move. CX485, O’Toole Dep. at 136:6-8; CX751, Takase Dep. at 80:1-9.

45. Had COSCO vessels waited to fully load empty containers, the fluidity of COSCO cargo at terminals would have improved. App’x at CX 422 (O’Toole Dep.) 73:11-14.

RESPONSE: Denied. As a preliminary matter, VCC’s Director of Logistics, Mr. O’Toole, lacks any commercial shipping qualifications and knowledge relating to the subject matter of the Complaint and even admitted that ocean carriers such as COSCO waiting at the ports would *not* have sped up the delivery of VCC’s cargo but would have done the opposite. CX422, O’Toole Dep. at 73:16-19. Accordingly, his opinion here is hardly persuasive. Moreover, during the pandemic, much more efficient than having its vessels wait at berth, COSCO deployed special “sweeper vessels” to help alleviate port congestion and to reposition containers. CX802, Takase Dep. at 131:13-22. COSCO was doing everything possible to accommodate both the shippers and the ports. Although ocean carriers would have favored a full return trip so that those empty containers could be refilled for the more profitable head-haul voyage from Asia to North America or Europe, this preference would have been weighed against the lengthy delays at anchor that their vessels had already experienced that resulted in voyages that were already significantly off-schedule, in-land supply chain issues impacting empty container returns, and container terminals congested by inbound and outbound containers. RX90-RX91, Hackett Rpt at 50-51.

46. Additionally, COSCO unilaterally reduced the amount of free time VCC had previously secured via its contract with RIM from seven (7) days to four (4). App’x at CX 91 (Hirschel Dep.) 70:6-71:11. As a result, VCC incurred these inflated fees earlier and without recourse. *See id.*

RESPONSE: Denied. [REDACTED]
[REDACTED]
[REDACTED] CX383 (O’Toole Dep.) at 34:13-35:22;
RX176-RX191. As it relates to the shipments at issue, COSCO is not aware of any requests

made by RIM for additional free time, and no documents have been produced by either party that demonstrate otherwise.

47. VCC had trucking capacity via various drayage carriers it contracted with, but COSCO was the party not able to take back empties. App'x at CX 285 (McCown Dep.) 182:1-3.

RESPONSE: Denied. Denied that “COSCO was the party not able to take back empties,”.

[illegible]

48. As one of VCC's drayage carriers noted, "The terminals [did not] have room for the empties because the SSLs [were not] taking empties out of here, they just [kept] bringing in imports." App'x at CX 1207 (VCC009101).

RESPONSE: Denied. Respondent objects to the inclusion of this email on hearsay grounds, as the statement is being offered to prove the truth of the matter asserted; moreover, the quoted trucker has not demonstrated that he has any particular insight or special knowledge with respect to the internal operations of the terminals or the ocean carriers (including Respondent). Furthermore, the email in question refers to Global Terminals; there is no evidence in the record that VCC or RIM or VCC's drayage provider ever moved a container carried by COSCO through that terminal.

V. COSCO'S DEMURRAGE AND DETENTION PRACTICES

A. Increased Rates and Untimely Invoicing

49. During the relevant time period, VCC moved a total of 1,844 40-foot containers from Asia to the United States with COSCO at an average of cost of \$5,437 per 40 foot container. App'x at CX 548 (McCown Report) ¶ 57. This figure is 14.3% above COSCO's average ocean freight rate. *Id.*

RESPONSE: Because VCC was never its customer, COSCO lacks sufficient information regarding the number of containers VCC may have moved via RIM or any other NVOCC

“with COSCO.” [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] RX4,
Complainant’s Supplemental Responses to Respondent’s First Set of Discovery Requests,
May 31, 2024, Admissions 2 and 3 at 3. Moreover, Complainant’s source for this fact, John
McCown, is not qualified to serve as an expert regarding the modern commercial shipping
industry, and his testimony should be afforded no persuasive weight. Mr. McCown’s
calculations clearly inflate the demurrage and detention value he used in his analysis. RX61,
Hackett Rpt. at 27.

50. VCC first noticed an increase in COSCO's detention and demurrage charges in or about October 2021. App'x at CX 429 (O'Toole Dep.) 80:14-16. The same rates were unprecedented in the shipping industry. App'x at CX 542 (McCown Report) ¶ 45.

[illegible]

██████████ RX4, Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, Admissions 2 and 3 at 3. Increases in detention and demurrage charges naturally would have occurred when VCC went from picking up and returning containers in a timely manner, to being late on both counts. Moreover, Complainant's source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. Furthermore, Mr. McCown's assertion that COSCO's demurrage and detention rates were higher than the industry average is flatly incorrect, as concluded by Mr. Hackett. RX57-RX58, RX77, Hackett Rpt. at 17-18; 37 ("COSCO's demurrage and detention rates ...were shown to be among the lowest of its peers globally and in North America.").

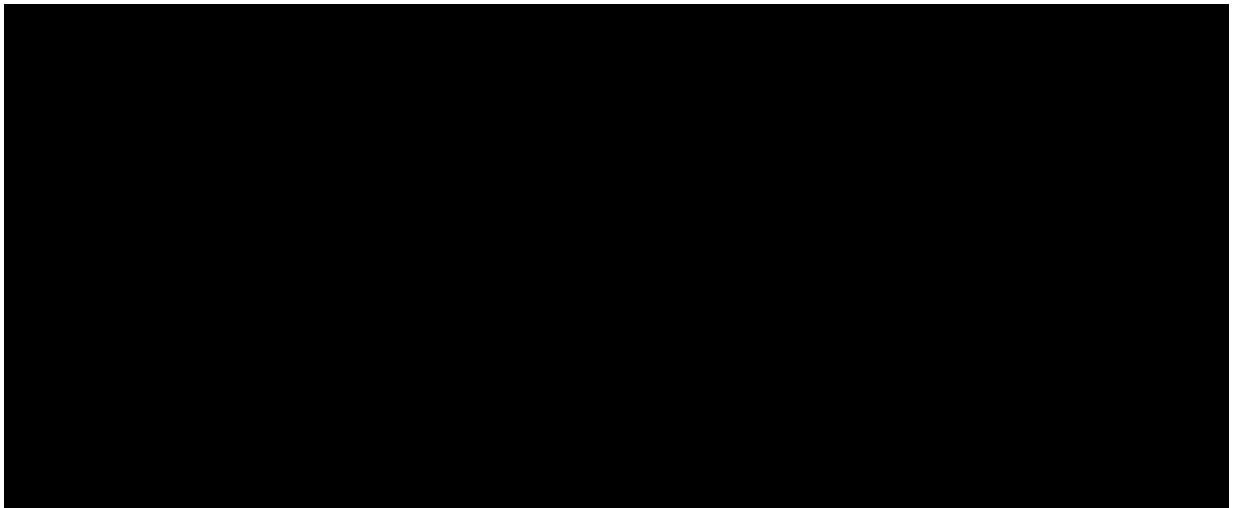
51. COSCO admitted that detention and demurrage revenues increased during the pandemic. App'x at CX 779 (Takase Dep.) 108:1-7; 109:10-14.

RESPONSE: Admitted.

52. COSCO further admitted that increased detention and demurrage rates contributed to an overall rise in COSCO's profit margin. *Id.* at 134:10-16; App'x at CX 532 (McCown Report) ¶ 20. This was because COSCO's detention and demurrage fees were more aggressive than the rest of the industry. *Id.*

RESPONSE: Denied that COSCO's detention and demurrage rates diverged from industry norms. In fact, COSCO's demurrage and detention rates were lower than those of its peers both at a global level and at a North American level. Moreover, Mr. McCown does not provide any evidence to support the assertion that COSCO operated in an unreasonable

manner and his assumptions and calculations about COSCO's rates, as shown by Mr. Hackett, are flatly wrong. RX57-58, RX84-86, Hackett Rpt. at 17-18; 44-46; and Hackett Exhibit 35 (also reproduced below). While Respondent admits that an increase in *collected* detention and demurrage charges contributed to an overall rise in COSCO's profit margin, Respondent notes that all ocean carriers experienced an increase in overall profits during the COVID-19 pandemic. CX805 (Takase Dep.) at 134:10-13.



53. In addition to increasing its detention and demurrage rates, COSCO also began commandeering contracted shipping rates by prioritizing and inflating spot market rates during the relevant time period. App'x at CX 764-5, Takase Dep. at 93:17-94:4.

RESPONSE: Denied. First, it appears that Complainant intended to cite VCC Director of Logistics Thomas O'Toole, rather than COSCO NA Vice President Tom Takase, in support of this purported fact. Second, Mr. O'Toole is not qualified to provide testimony in support of this purported fact, as he has no visibility or insight into COSCO's internal operations during this time. Respondent also incorporates by reference its response to CPFF52.

54. COSCO introduced new rate structures, including "diamond rates" and "premium rates," that were much higher than contracted rates and effectively required to secure a container

spot on a vessel. *Id.* at 95:12-9. If a shipper did not pay the artificially inflated rates, then its cargo would get passed over repeatedly. *Id.*

RESPONSE: Denied. Mr. O’Toole is not qualified to provide testimony in support of this proposed fact, as he has no visibility or insight into COSCO’s internal operations during this time. Moreover, for the shipments alleged to be at issue, VCC was not a service contract party with COSCO, thus, no service contract existed between VCC and COSCO which COSCO was required to honor.

55. Between 2020 and 2021, the period when VCC first noticed significantly increased rates, COSCO’s net revenue doubled, and its net income increased over 900%. App’x at CX 537 (McCown Report) Table 1.

RESPONSE: Denied. First, Mr. O’Toole, VCC’s Director of Logistics, stated that he first noticed “the charges that are the subject of this case” in October, November, and December 2021. CX429, O’Toole Dep. at 80:7-16. Much like the rest of his analysis, Mr. McCown conflates “rates” and “charges” and a host of other things. Further, Complainant’s source for this purported “fact,” VCC’s Expert Witness John McCown, lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. His lack of qualifications notwithstanding, he also offers no evidence to support this claim. However, given that Mr. McCown’s (incorrect) figures in his Table 8 suggest that demurrage and detention charges accounted for between 0.85% and 1.62% of revenue for the top nine carriers, it is far more likely that any increase in revenue experienced by ocean carriers was a result of surging freight rates. RX76, Hackett Rpt. at 36.

56. COSCO’s per diem charges at its New York terminals were five times higher than

its charges in Rotterdam during the relevant time period without any factual basis to support such a disparity other than profit generation. *Id.* at 543-4.

RESPONSE: Denied. First, Complainant’s source for this purported “fact,” VCC’s Expert Witness John McCown, lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Moreover, COSCO’s per diem charges as they relate to charges in Rotterdam are completely irrelevant to the complaint at issue, which did not include the Rotterdam port for any alleged VCC shipments. Much of Mr. McCown’s assertion is related to the difference in demurrage and detention costs in the United States versus the rest of the world, but the difference in rates between the United States and the rest of the world is widely known within the industry. Container xChange, a technology firm that collects demurrage and detention data and provides support to clients within the shipping field describes the situation: ‘Due to port congestion, complex trade regulations, infrastructure challenges and strict enforcements, North America has always been and still is the most expensive region for Demurrage and Detention charges.’” RX57, Hackett Rpt. at 17. Further, Mr. McCown provides no evidence that COSCO has higher demurrage and detention charges in the United States compared to the rest of the industry. In fact, a Container xChange report on international demurrage and detention rates found that in 2022, COSCO had the lowest global demurrage and detention charges out of eight major shipping lines. COSCO also had the lowest rates in North America in 2023. RX57, Hackett Rpt. at 17. As COSCO’s demurrage and detention charges are lower than those of its peers both at a global level and at a North American level, it is clear that COSCO is far from the “unreasonable” carrier that Mr. McCown depicts it to be.

57. COSCO has no internal policy regarding the appropriate issuance of detention, demurrage, per diem, or storage charges or handling disputes about such charges. App'x at CX 811 (Takase Dep.) 140:3-20.

RESPONSE: Denied. Complainant again mischaracterizes the deposition testimony of Mr. Takase. Mr. Takase testified that, “[w]e have policies in place to not bill in those circumstances if it’s not incentivizing movement of cargo.” When asked by counsel for VCC whether Mr. Takase was referring to written policies, Mr. Takase responded, “Currently I’m not sure if they’re written policies, *but we have policies in place right now as far as reasons for approving mitigation for certain scenarios.*” CX811, Takase Dep. at 140:3-20.

58. COSCO did not produce any documents regarding its policies for setting detention and demurrage fees in discovery. Additionally, COSCO’s corporate representative/30(b)(6) witness was not prepared to testify on this topic on COSCO’s behalf, although VCC listed this as a topic on which he would be deposed, and COSCO did not object to that notice. App'x at CX 724 (Takase Dep.) 53:2-19.

RESPONSE: Denied. COSCO’s demurrage and detention policies are set out in its tariff rules, which are publicly available on its website. RPFF150. Denied that COSCO’s corporate representative was not prepared to testify on this topic. *See, e.g.,* CX811, Takase Dep. at 140:3-20.

59. However, detention and demurrage data is available from public reporting to the FMC, and shows that during the relevant time period COSCO’s revenue margins outperformed the entire containing shipping industry by approximate margins of 15.6% and 27.1% – in large part due to its detention and demurrage practices. App'x at CX 552 (McCown Report) ¶ 63.

RESPONSE: Denied. Complainant’s source for this purported “fact,” VCC’s Expert

Witness John McCown, lacks the requisite qualifications related to the subject matter of this Complaint. Accordingly, his testimony should be accorded no persuasive influence. Moreover, Mr. McCown offers no evidence to support either his claim that COSCO's revenue outpaced its peers or his claim that such revenue was attributable to COSCO's detention and demurrage charges. Detention and demurrage data is not "available from public reporting to the FMC." Although an index created by the FMC is here: <https://www.fmc.gov/detention-and-demurrage/> (last visited November 29, 2024), the underlying data is not "available from public reporting." To the contrary, Mr. McCown attempts to reverse-engineer the actual values from the aggregated, indexed chart published by the FMC is woefully incorrect. Like the balance of this Report, Mr. McCown makes assumptions on assumptions and estimates on estimates, none of which amount to actual "data." RX72-RX76, Hackett Rpt. at 32-36. However, because Mr. McCown's (incorrect) figures in Table 8 of the McCown Report suggest that demurrage and detention charges accounted for between 0.85% and 1.62% of the revenue at the top nine carriers, it is far more likely that any increase in revenue experienced by ocean carriers was the result of surging freight rates. RX75-RX76, Hackett Rpt. at 35-36.

60. Double move policies were also put in place at the terminals used by COSCO. App'x at CX 1211-4 (VCC008341, VCC008344). Under those policies truckers were granted an appointment only if they were able to both return a container and take a new one. This further contributed to delays in moving cargo. App'x at CX 750 (Takase Dep.) 79:7-15.

RESPONSE: Admitted in part, denied in part. COSCO admits that some terminals used by COSCO may, from time to time, have had double move policies, but, as none of the terminals VCC alleges affected or days on which those terminals may have implemented

double move policies COSCO lacks sufficient information to either affirm or deny CPFF60. Denied that double move policies were implemented by COSCO itself. CX751, Takase Dep. at 80:1-9. COSCO admits to the general definition of a double move provided in the second sentence. COSCO denies that double move policies contributed to delays in moving cargo, as Mr. Takase testified that, “in order to maintain fluidity within the terminal gates, they [dual moves] will require the same trucker to perform two transactions instead of a single. This would help *reduce* the trucking lines into the terminal because the single trucker could, say, for example, pull an empty container or return a full or vice versa instead of having, say, two truckers.” CX750, Takase Dep. at 79:3-15. Moreover, truckers generally prefer double moves, and the Federal Maritime Commission sought to *increase* the number of double moves that truckers were making as an initiative aimed at helping increase freight fluidity at congested terminals in 2021. At a meeting in November 2021, Commissioner Dye said: ‘Achieving double moves for truckers would improve trucker productivity and remove a constant source of conflict over container return as well as resolve problems with appointment systems and chassis shortages.’ The reason that truckers prefer double moves is that it reduces the amount of time spent waiting at a terminal to load or unload a container or driving between locations, which decreases their efficiency and reduces their ability to earn revenue.” RX95, Hackett Rpt at 55.

61. Regardless of who made the decision to implement a double move policy, COSCO has the requisite market power to be involved in or could have influenced the policy decision. App’x at 260 (McCown Dep.) 157:10-21.

RESPONSE: Denied. First, it is unequivocally clear that terminals, not ocean carriers, make the decision to implement a double move policy, not COSCO. CX750-751, Takase

Dep. at 79:3-80:9. Second, Respondent does not have any authority whatsoever to influence decisions that are in the exclusive purview of the terminal, such as the requirement of dual moves. CX751-752, Takase Dep. at 80:1-9, 81:2-8. As VCC does not indicate the days on which it could not access any particular terminal, COSCO lacks sufficient information to either affirm or deny CPFF60.

62. Small shippers are disproportionately impacted by double move policies because they do not always have a second container to move at any given time. App'x at CX 256-7 (McCown Dep.) 153:21-154:8.

RESPONSE: Denied in part. Denied to the extent that Complainant suggests that COSCO is responsible for any double move policies implemented by terminals. CX751-752, Takase Dep. at 80:1-9, 81:2-8. Denied to the extent that CPFF62 suggests VCC is a "small shipper." Otherwise, Respondent lacks sufficient knowledge to admit or deny.

B. COSCO Lacked a Meaningful Dispute Resolution Process

63. COSCO's process makes the consumer responsible for disputing the propriety of detention and demurrage fees regardless of whether the delay that gave rise to those fees were caused by COSCO or another third party. App'x at CX 730 (Takase Dep.) 59:2-6.

RESPONSE: Denied. Once again, Complainant mischaracterizes Mr. Takase's deposition testimony. Mr. Takase testified that if "there was a widespread error or delay on our end that we were aware of, let's say we had a system outage or something, that would cause an error across multiple shipments and we were aware of it prior, we would take proactive measurements to extend the free time." CX730, Takase Dep. at 59:2-12. As such, COSCO monitors its own operations to ensure demurrage and detention charges are being assessed fairly and in accordance with the FMC's Rules on Demurrage and Detention. Denied to the

extent CPFF63 alleges that VCC is a consumer. Further denied, inasmuch as consumers of wholesale and retail products such as those sold by VCC do not contract or pay for transportation services.

64. Containers that were unable to be returned due to double move policies were not eligible for waiver of detention or demurrage charges. *Id.* 84:14-85:21.

RESPONSE: Denied. Denied to the extent Complainant has neither alleged nor provided evidence that any of the 419 (or other number) of containers for which it has alleged it paid assessorial charges (whether demurrage, detention or storage) were unable to be returned due to double move policies. Complainant VCC mischaracterizes Mr. Takase's deposition testimony. Mr. Takase was asked by counsel for VCC whether "it [is] COSCO's position that the requirement for dual transaction is not a basis to *automatically* waive detention or demurrage charges" (emphasis added). Mr. Takase responded "correct." CX756, Takase Dep. at 85:16-21. Thus, containers unable to be returned due to a double move policy required by the terminal were not eligible for an *automatic* waiver of detention or demurrage charge, although such charges could still be disputed with documentary evidence and potentially waived by COSCO. CX756, Takase Dep. at 85:16-21. Moreover, COSCO is "open to review any scenario" where a dispute is submitted detailing the inability for a trucker to return an empty container or to pick up a loaded container. CX767, Takase Dep. at 96:4-17.

65. Typically, customers can only dispute COSCO's detention and demurrage fees if they are able to produce documentary evidence of a physical gate closure or a notice from the terminal system that no empty return appointments were available. App'x at CX 766 (Takase Dep.) 95:13-96:22. Other circumstances were discretionary. *Id.*

RESPONSE: Admit in part, denied in part. Denied that COSCO's customers are prevented from disputing any charge on any basis they wish. Denied that only a "physical gate closure or notice from the terminal system" is adequate evidence upon which COSCO can respond. Admitted that, in order for COSCO to mitigate, refund, or credit a charge, a customer is required to produce documentary evidence of appointment unavailability, which can take many forms, including, for example, an email between the trucker and the terminal confirming an issue with being able to pick up a loaded container or returning an empty container or screenshots of terminal appointments. CX766-767, Takase Dep. at 95:13-96:3.

66. COSCO admits that it adjusts D&D charges only in limited circumstances, and the sole grounds for a valid dispute of a detention charge are if "there's no way that a trucker could return the equipment," either due to "gate closures" or "lack of appointments." App'x at CX 767 (Takase Dep.) at 96:7-96:20.

RESPONSE: Denied. Respondent assumes "D&D charges" means demurrage and detention charges. Complainant mischaracterizes Mr. Takase's deposition testimony. When asked by VCC's counsel whether any circumstances other than a gate closure would warrant the refund of fees following a dispute, Mr. Takase responded, "Typically, I mean, majority is going to be the- you know, an actual physical gate restriction to return the empty. *There could be other various reasons*, but basically if there's no way that a trucker could return the equipment, that's all taken into consideration. If there is a valid opportunity to return the equipment, then, you known, we would view that as a dispute to be invalid, *but we're open to review any scenario.*" CX767, Takase Dep. at 96:4-17 (emphasis added). COSCO would also consider "significant congestion" in the terminal as a valid grounds for waiver, but a dispute must be made in order for COSCO to be aware of and consider the

circumstances. CX768, Takase Dep. at 97:2-14.

67. While COSCO acknowledges that lack of appointments may justify a delay, it does not monitor the availability of appointments at terminals to ensure that shippers are able to return equipment. App'x at CX 798 (Takase Dep.) 127:9-17; 127:18- 128:1. Accordingly, COSCO only becomes aware of issues with appointment availability when it is notified of a gate closure or when a customer raises the issue in a dispute. *Id.* 128:3-15.

RESPONSE: Denied. COSCO is advised when there are no appointments available at the terminals it uses and thereby “monitors the availability of appointments.” Whether a terminal may run out of appointments on any given day or any given shift is impossible for COSCO or any ocean carrier to “proactively monitor” on a real-time basis. If the terminal’s gate remains open, the ocean carrier cannot be “not sure which customers were able to obtain an appointment, and which ones were not.” CX798-799, Takase Dep. at 127:18-128:12. Indeed, COSCO does preemptively issue waivers on days where there is an effective gate closure, i.e., when the terminal declares to COSCO that it did not issue any (zero) appointments that day. CX799-800, Takase Dep. at 128:16-129:2.

68. Even after customers initiate disputes related to COSCO fees, those fees continue to accrue during the dispute process. *Id.* 100:5-20. COSCO admits to implementing a pay-now-ask-questions-later approach by recommending customers pay all fees, regardless of dispute status, in order to avoid being punished with cargo holds. *Id.* at 100:10-101:7.

RESPONSE: Denied. With respect to detention, charges stop when the empty container is returned. CX718-719, Takase Dep. at 47:13-20. 48:20-6. Mr. Takase actually testified that “it’s possible” that demurrage fees continue to accrue during the dispute resolution process if the container is not timely collected. However, COSCO has a well-established process for

its customers seeking relief, and when consignees/shippers/truckers provide some sort of corroboration that facilities were unavailable on any specific day for a specific shipment, COSCO waives, credits or refunds charges for that day as appropriate. CX767, Takase Dep. at 96:4-97:14.

69. Despite VCC and its NVOCCs' efforts, COSCO did not assist VCC with empty returns, often not responding to emails or responding in a delayed fashion. *Id.* at 57:5-11; App'x at CX 1185 (COSCO 000948).

RESPONSE: Denied. [REDACTED] [REDACTED] ([REDACTED]) [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]
[REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]
[REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] See also, RX6-RX7, Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, at Interrogatory 2 and Interrogatory 3. For the shipments at issue, VCC's NVOCC, RIM, acted as consignee and notify party. RIM was not a service contract party with COSCO for VCC's shipments. Accordingly, COSCO did not have any obligation to increase free time for demurrage or detention, which, as between VCC and RIM, was controlled by RIM pursuant to the NSA between them. Moreover, Complainant has produced no evidence that either VCC or RIM ever contacted COSCO regarding issues with the return of empty containers, although VCC may have asked RIM to do so.

70. All charges issued to VCC by COSCO in the relevant time period were properly disputed on the basis that they were not able to move the object cargo, and COSCO did not agree to extend free days or waive or reduce them.

RESPONSE: Denied. First, [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]
[REDACTED] [REDACTED] CX387-CX388, O'Toole Dep. at 38:16-39:13; RX4, Complainant's

Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, Admission 5 at 3. Second, since 2020, COSCO has had a well-established process for shippers seeking relief from demurrage or detention charges: when consignees/shippers/truckers provide documentation corroborating that facilities were unavailable on a specific day for a specific shipment, COSCO waives, credits or refunds charges for that day as appropriate. [REDACTED]

[REDACTED] RX5, Complainant's Supplemental Responses to Respondent's First Set of Discovery Requests, May 31, 2024, Admission 8 at 4.

C. VIP Accounts²

71. COSCO developed a VIP account system to give certain customers access to services and benefits beyond COSCO's standard services. App'x at CX 734 (Takase Dep.) 63:3-12.

RESPONSE: Admitted.

72. VIP services range from those customers receiving their own assigned account support representative, specialized reporting, detention and demurrage waivers, container tracking, priority pickup numbers, etc. *Id.* at 63:14-8; 73:2-4; 76:16-22.

RESPONSE: Denied in part, admitted in part. COSCO admits that VIP service contracts exist and may include a direct assigned account support representative, the provision of specialized reporting. Denied as CPFF72 misstates Mr. Takase's testimony and denied that

² Information related to COSCO's VIP account practices has been limited by COSCO's patent refusal to produce any documents regarding the same, or to provide clarity into its document collection practices. App'x at CX 733 (Takase Dep.) 62:20-63:2.

detention and demurrage waivers or container tracking and priority pickup numbers are included in the “VIP services range” mentioned by Mr. Takase, cited above by Complainant or the balance of his testimony appearing at CX734, Takase Dep. at 63:13-22.

73. VIP accounts are selected based on multiple factors. *Id.* at 64:12-65:2.

RESPONSE: Admitted.

74. COSCO does not maintain a written policy on the selection of VIP accounts. *Id.* at 66:3-10.

RESPONSE: Admitted.

75. If a VIP account holder has a designated account support representative, the customer gains a direct line to that individual for inquiries about detention and demurrage fees, rather than having to the standard process of fee disputes being sent to a mass collection email. *See id.* at 67:5-68:22. “The main advantage is that they have a key rep to go to versus calling into a general group to obtain this information or having to self-service themselves on like an online platform...” *Id.* at 76:20-77:3.

RESPONSE: Admitted.

76. VIP accounts may also negotiate special contract terms regarding detention and demurrage fees, including complete protection from fees associated with unavailability of containers due operational issues, drayage delays, or even buried containers. *Id.* at 70:10-73:4.

RESPONSE: Admitted only to the extent that “some VIP [service] contracts” that provide for “no fees associated with” the extension of free days in the example given, which was for the lack of chassis. CX742-CX743 Takase Dep. at 71:12-22, 72:17-4. Otherwise denied.

77. This contractual waiver of COSCO’s detention and demurrage fees associated with operational delays was included in its contracts with Wal-Mart, Lowe’s, Target, and “pretty

much almost every major retailer.” *Id.* at 73:6-15.

RESPONSE: Denied. Complainant again mischaracterizes Mr. Takase’s deposition transcript. Mr. Takase testified that with respect to “numerous operational issues at the terminal preventing pickup,” some VIP service contracts would provide for no associated fees. Moreover, Mr. Takase testified that these terms “vary” and “are not consistent at all. So, one may give advantage to a certain scenario, another may not.” CX743-744, Takase Dep. at 72:4-73:21. Accordingly, such waivers are not standard across “every major retailer” as stated by Complainant.

VI. COSCO’S PUNITIVE COLLECTIONS STRATEGY COMPOUNDED DETENTION AND DEMURRAGE ACCRUAL

78. COSCO’s punitive collections strategy includes the use of cargo holds – also known as line holds or cargo napping. App’x at CX 247 (McCown Dep.) 143:8-144:19.

RESPONSE: Denied. Denied that COSCO’s collections strategy is “punitive.” COSCO does not have any reason to charge demurrage fees other than to incentivize the fluidity of cargo. CX810-811, Takase Dep. at 139:21-22; 140:1-2. A line hold, also called a cargo hold, is instituted by an ocean carrier when demurrage is owed on a loaded container that exceeds its free time at the terminal. CX772, Takase Dep. at 101:5-11. COSCO monitors cargo holds or line holds to ensure they are resolved quickly. CX773, Takase Dep. at 102:11-16. Otherwise, denied.

79. If VCC at any point had charges pending against its cargo, COSCO would employ cargo holds against the cargo, preventing any status change until the pending charge was paid. App’x at CX 772 (Takase Dep.) 101:2-7.

RESPONSE: Denied. A “line hold” or “cargo hold” may be instituted by the ocean carrier when demurrage is owed on a loaded container that exceeds its free time at the port. CX772,

Takase Dep. at 101:5-11. COSCO monitors cargo holds or line holds to ensure they are resolved quickly. CX773, Takase Dep. at 102:11-16.

80. Cargo holds create a “pay-to-play” scheme in which containers are held hostage to COSCO’s own terminal congestion and inflated fees. App’x at CX 247 (McCown Dep.) 144:7-14. Accordingly, VCC’s payments were made under duress. *Id.* at 145:8-9.

RESPONSE: Denied. Denied inasmuch as Mr. McCown is unqualified to make such an assertion and that the proposed fact is based purely on Mr. McCown’s unsupported opinion and conjecture. Further denied that there is any evidence or argument that any of the 419 containers alleged by VCC in this proceeding were ever subject to a cargo hold and thus any allegation Mr. McCown makes of “duress” (a legal term) is completely unsubstantiated by any fact whatsoever. In common parlance, “pay to play” describe situations in which money is exchanged for services or the privilege to engage in certain activities. To allege here that there is a “pay-to-play” scheme is patently ridiculous. The Shipping Act and the rules of the Federal Maritime Commission require that any charge assessed by an ocean common carrier such as COSCO must appear in its published tariff or in a filed service contract. Changes in rates for such surcharges in a published tariff may only be implemented on at least 30 days’ notice or by mutual agreement with the shipper party to a service contract agreed to prior to the acceptance of the ocean carrier at origin. There is no evidence or allegation that COSCO implemented any increase in assessorial fees on less than 30 days’ notice or without mutual agreement by the shipper. Further denied that COSCO was responsible in any way for congestion at ports.

81. COSCO admits that cargo holds do not help maintain cargo flow. App’x at CX 773 (Takase Dep.) at 102:11-8.

RESPONSE: Admitted with the caveat that COSCO monitors cargo holds “to make sure that whatever reasons are behind the holds are resolved quickly. CX773, Takase Dep. at 102:11-16. The terminals, not the ocean carriers, set a maximum inventory of containers that the terminal can handle in which the ocean carriers then must manage their inventory against. CX823, Takase Dep. at 152:9-18. If an ocean carrier exceeds the overall capacity limit set by the terminal for full and empty containers, then the carrier can be shut out until those inventory levels are reduced.” CX822-823, Takase Dep. at 151:10-152:8. Therefore, COSCO has an incentive to monitor cargo holds because such holds can end up impeding COSCO’s access to marine terminals.

82. Rather than incentivizing cargo flow, COSCO created “an incentive to have to pay [demurrage] first.” *Id.* at 114:10-1.

RESPONSE: Denied. Respondent incorporates by reference its response to CPFF81.

83. Cargo holds are not a necessary collection mechanism. COSCO simply uses standard collections practices for non-demurrage charges. *Id.* at 114:17-22.

RESPONSE: Denied. COSCO issues cargo holds for containers that have outstanding ocean freight or other charges. CX773, Takase Dep. at 102:9-10. In the Final Rule on Demurrage and Detention Billing Requirements, the FMC states, “This rule does not impact traditional cargo lien rights. This rule allows MTOs to make their own business decisions about whether or not they require demurrage and detention charges to be paid prior to releasing cargo.” 89 Fed. Reg. 14330, 14335 (February 26, 2024).

84. “A load that is not accessible in a terminal is no different from a load that remains in a berthed ship, as the customer has no ability to retrieve either. Similarly, a terminal that is full and incapable of receiving return empty containers has not delivered the service that a port-to-

port shipper has paid for.” App’x at CX 547 (McCown Report) ¶ 55.

RESPONSE: Denied. First, a container in a terminal is relatively easier to access than a container loaded onto a berthed ship – this is common sense. Even if a shipper faces an impediment to retrieving the container from the terminal, such retrieval is possible, while retrieval from a berthed ship is not feasible. Second, Mr. McCown’s opinion on this matter is not worth its weight in salt. RX88, Hackett Rpt. at 48.

85. To compound the issue, COSCO would experience operational deficiencies such that containers that were already paid for would still be held under cargo holds – increasing detention and demurrage charges. App’x at CX 1220, 1190 (COSCO_000182, COSCO_000294).

RESPONSE: Denied. Complainant’s citation for this purported fact is entirely inapposite.

{ [REDACTED] } It is in no way related to any of the containers alleged in dispute in this proceeding.

86. For some containers, COSCO would wait until VCC’s drayage carrier was present for cargo pick-up before notifying it of unexpected fees to be paid for release, forcing VCC to pay the fees without opportunity to sufficiently review or dispute the fees. App’x at CX 1177 (COSCO_000263).

RESPONSE: Denied. First, the document cited does not relate to any of the 419 (or 319 or 437) containers alleged to be at issue. { [REDACTED] }

[REDACTED] CX1178,

COSCO_000264. [REDACTED] (“[REDACTED]”
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

87. For others, buried containers would result in COSCO waiting so long to issue invoices for VCC's cargo that the fees would accrue without any ability for VCC to mitigate them. App'x at CX 1210 (VCC008425).

RESPONSE: Denied. VCC does not allege that any of the 419 containers at issue were delayed due to being “buried” (i.e., inaccessible) at the terminal. As Mr. Takase testified, COSCO does not have any reason to charge demurrage fees other than to incentivize the movement of cargo. CX811-812, Takase Dep. at 140:3-141:7. CX1210 does not refer to any particular container, invoice, or bill of lading, so it is impossible to know which container it refers. Finally, there is no indication that any of the detention charges to which the email refers either related to any of the 419 (or 319 or 437) containers alleged to be at issue in this proceeding or were levied by COSCO. Mr. O’Toole of VCC refers to “high dollar detention invoices come in *from sher-del* [VCC’s trucker].” CX1210 (emphasis supplied). In any event, it is clear that the situation to which Mr. O’Toole refers in CX1210 is to containers VCC had held at its Burlington (“BU”) warehouse past free time. They were not “buried” i.e., inaccessible, at the marine terminal. Moreover, the accruing of detention charges for the late return of empty containers stops once the container is returned. Finally, COSCO is “open to review any scenario” regarding a refund of demurrage or detention fees; neither VCC nor RIM ever submitted any dispute to COSCO for any of the shipments at issue.

CX767, Takase Dep. at 96:4-17.

88. COSCO refuses to make accommodations on free days or to waive its fees even where there are circumstances outside the shipper's control preventing loading or unloading. App'x at CX 92 (Hirschel Dep.) 93:4-13.

RESPONSE: Denied. There is no evidence showing COSCO was ever asked to make accommodation on the 419 (or 319 or 437) containers alleged by Complainant to be at issue in this matter. COSCO has policies in place for "approving mitigation of certain scenarios" to not bill customers if there existed no incentive to the movement of cargo. CX811-812, Takase Dep. at 140:3-141:7.

89. Additionally, COSCO's billing of detention fees is semiautomated, so the customer is billed automatically regardless of whether the fee was incurred as a result of COSCO's operational deficiencies. App'x at CX 764 (Takase Dep.) 93:12-94:18.

RESPONSE: Denied in part. Admitted to the extent COSCO's billing of detention fees is semi-automated. Denied in as much as the late return of empty containers is alleged to be caused by "COSCO's operational deficiencies" as COSCO does not control the operations of the gates of marine terminals. CX751, Takase Dep. at 80:1-9. Admitted to the extent that, for detention invoices, COSCO is only made aware of return issues if a dispute has been filed. CX763, Takase Dep. at 94:6-14. COSCO is physically incapable of ensuring that detention fees are not being assessed on containers when there are no appointments available, but the gate remains open because COSCO is "not sure which customers were able to obtain an appointment, and which ones were not." CX798-799, Takase Dep. at 127:18-128:12. If an internal COSCO error or operational error occurs, COSCO adjusts or extends detention or demurrage free time. CX814, Takase Dep. at 143:2-6.

VII. COSCO'S DEMURRAGE AND DETENTION PRACTICES WERE UNTETHERED FROM THE SHIPPING ACT AND THE INCENTIVE PRINCIPLE

90. The FMC incentive principle was created following a series of public hearings and was formally and unanimously adopted by the FMC in early 2020.³ The rule established that detention charge to be reasonable, it must help promote the efficient movement of cargo and/or equipment and not be for some other purpose. Its application must be focused on improving the movement or fluidity of equipment through the systems operated by the container carriers. The FMC has repeatedly ruled that such charges are not allowable solely as a revenue or income stream that has no role in incentivizing the movement or fluidity of equipment. App'x at CX 547 (McCown Report) ¶ 54.

RESPONSE: Denied. Respondent disputes Complainant's characterization of the Incentive Principle. RX63-65, Hackett Rpt. at 23-25.

91. COSCO's business decision to release outbound vessels without adequately loading them with empty containers "turns the incentive principle on its head," by billing shippers hundreds of dollars per day for detention and demurrage fees that could not be avoided due to the ocean carriers' own actions. App'x at 191 (McCown Dep.) 88:2-7.

RESPONSE: Denied. Complainant's Expert Witness, John McCown, is not qualified to provide expert testimony regarding the modern commercial shipping industry. Moreover, VCC's own Director of Transportation and Logistics, Thomas O'Toole, admitted that ocean carriers such as COSCO waiting at the ports would *not* have facilitated the delivery of VCC's cargo but would have actually done the opposite. CX422, O'Toole Dep. at 73:16-19.

³ FMC Interpretive Rule on Demurrage and Detention Under the Shipping Act, 46 CFR Part 545, published in the Federal Register on May 18, 2020.

Further, COSCO deployed special “sweeper” vessels in an effort to alleviate port congestion by picking up empty containers as well as chartering additional vessels to carry U.S. importers’ booming demands. CX802, Takase Dep. at 131:13-22.

92. COSCO’s inflated rates as applied did not incentivize VCC to timely pick up its cargo because VCC was already incentivized to pick up its cargo by the critical role its products played in its business. App’x at CX 511-2 (O’Toole Dep.) 162:15-163:1.

RESPONSE: Denied. First, as is apparent by the published tariff, COSCO did not “inflate” its demurrage or detention rates at any point in time including during the COVID-19 pandemic. Further, VCC’s own witness, Thomas O’Toole, testified that a high daily demurrage charge positively incentivized VCC to timely pick up its cargo. CX511, O’Toole Dep. at 162:8-11.

93. Detention and demurrage pricing has become a profit generation mechanism for ocean carriers, and the Covid-19 pandemic allowed COSCO to inflate that known source of revenue because shippers were forced to pay cargo holds, spot markets, double moves, VIP accounts. App’x at CX 207-8 (McCown Dep.) 104:18-105:1.

RESPONSE: Denied. First, this is a legal argument, not a factual assertion. Moreover, Respondent has no knowledge regarding how other “ocean carriers” operate relating to their pricing of detention and demurrage. COSCO denies that the COVID-19 pandemic allowed it to “inflate” its revenue from demurrage and detention pricing, “cargo holds, spot markets” or “double moves”. With respect to demurrage and detention, this was because COSCO had policies in place not to bill for detention or demurrage in situations where the fluidity of cargo would not be facilitated. CX811, Takase Dep. at 140:3-13. Because VCC has made no arguments as to the cause of why any of the 419 containers it alleged it was

charged demurrage or detention (or storage), and there is no evidence of why these charges were avoidable, or improper, COSCO cannot respond to this proposed Finding of Fact with reference to those containers. Neither VCC nor its expert Mr. McCown alleges or explains how “cargo holds, spot markets” or “double moves” would have affected demurrage and detention pricing. Finally, and broadly speaking, there were many causes of congestion including container and truck shortages, delays in cargo being moved out of the terminal due to the volume of cargo that ports were handling; delays with cargo being picked up and transported to warehouses due to a shortage of drivers and chassis; and delays in unloading containers at the U.S. destination warehouses due to a shortage of workers and space within the warehouses. In short, the supply chain was experiencing delays from beginning to end. RX65, Hackett Rpt. at 25.

94. COSCO has admitted that detention and demurrage fees are a source of revenue generation. App’x at CX 779 (Takase Dep.) 108:1-6.

RESPONSE: Denied in part, admitted in part. COSCO admits that it collects detention and demurrage fees. COSCO denies that for any of the 419 (or 319 or 437) containers alleged by Complainant to be at issue in this proceeding that it collected demurrage or detention fees. COSCO does not have any reason whatsoever to charge demurrage or detention fees other than to incentivize the movement and fluidity of cargo. CX774, Takase Dep. at 103:1-13. COSCO also has policies in place to not bill for detention or demurrage in situations where the fluidity of cargo would not be facilitated. CX811, Takase Dep. at 140:3-13.

95. During the COVID-19 pandemic, COSCO’s D&D fees per diem vastly exceed even a conservative estimate of these underlying costs. App’x at 542 (McCown Report) at Section V.

RESPONSE: Denied. Complainant's cited source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry. This is explained in Mr. Hackett's Rebuttal Report. RX57-RX63, Hackett Rpt. at 17-23.

96. Conservatively, ownership and maintenance costs for a 40 foot container amount to \$1.43 per day. *Id.* at 544 ¶ 49. COSCO's per diem demurrage rates at U.S. ports ranged from 115 times to 354 times the total ownership and maintenance costs of a 40 foot container, its most prevalent container size. *Id.* at 545 ¶ 50. Opportunity costs did not account for this excessive overcharge, as all of COSCO's ships were full during this period. *Id.* at 545-6 ¶51-52.

RESPONSE: Denied. Complainant's cited source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry. This is explained in Mr. Hackett's Rebuttal Report. RX57-RX63, Hackett Rpt. at 17-23.

97. Therefore, during the relevant period, COSCO had virtually no actual costs associated with its D&D billings, which renders their assessment unjust and unreasonable. *Id.* at ¶ 53.

RESPONSE: Denied. Complainant's cited source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry. This is explained in Mr. Hackett's Rebuttal Report. RX63, Hackett Rpt. at 23 ("McCown's assertion is based on his own conclusion regarding whether or not there was a violation of the incentive principle.").

98. COSCO did not produce any documents regarding its detention and demurrage profits in discovery as requested. Additionally, COSCO's 30(b)(6)/corporate representative witness was not prepared to discuss the same, despite it being listed as a topic on the operative deposition notice. App'x at CX 704 (Takase Dep.) 33:7-16.

RESPONSE: Denied. COSCO produced its COSCO demurrage and detention collected in Q2 2020 through Q4 2021 as COSCO's Third Production (COSCO_000100). Moreover, COSCO produced these reports despite the fact that the Presiding Officer was not convinced that Complainant's requests in discovery for generalized data regarding COSCO's income, revenue, and the like were relevant. Order of July 17, 2024 (Slip Op at 9).

99. Detention and demurrage, "ceases to be that incentive... if somebody cannot put a piece of equipment back in the yard because the yard is full of empties because the carrier made a decision, a decision itself to not sail with a full complement, that squarely lies with them." App'x at CX 234 (McCown Dep.) 131:20-6.

RESPONSE: Denied. First, Complainant's cited source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry. Further, COSCO was unable to wait to fully load empty containers because of the severe backlog at the terminal and the need to move new vessels into the port. Instead, COSCO deployed additional vessels as "sweepers" to pick up empty containers at U.S. ports in an effort to alleviate congestion most efficiently. CX802, Takase Dep. at 131:13-22.

100. COSCO's detention and demurrage fees continue to accrue even if a container cannot be picked up by shippers due to holds on the cargo. App'x at CX 774 (Takase Dep.) 103:1-7. COSCO does not waive fees for cargo holds on a container. *Id.*

RESPONSE: Denied. VCC has never alleged, nor is there any evidence to which it can point, that any of the 419 (or 319 or 437) containers alleged to be at issue in this proceeding could not be picked up due to holds on the cargo. With respect to VCC's general assertion, also denied. Complainant's purported source for this fact, the Deposition of Tom Takase, does

not include this information.

101. COSCO also does not waive fees on containers held under a customs hold, which is unrelated to whether fees have been paid on a given container and something that the shipper has no control over. *Id.* at 103:8-104:3; App’x at CX 1191-4 (COSCO_000321; COSCO_0001083).

RESPONSE: Denied. VCC’s expert Mr. McCown testified that it is always reasonable to charge demurrage when it is “clear and documented that it is the shipper’s responsibility. [... such as] customs inspection.” CX201, McCown Dep. at 98:9-18. RIM had control over any Customs’ holds VCC may have experienced because they were the party in this matter that processed the Customs’ paperwork for all VCC shipments. CX446, O’Toole Dep. at 97:12-16. Mr. O’Toole testified that VCC experienced Customs’ holds in 2021 and 2022, but he could not recall the specific containers that may have been held. CX445, O’Toole Dep. at 96:18-22. Nowhere does Complainant allege that any charges at issue in this proceeding were the result of a Customs’ hold.

102. COSCO admits that detention and demurrage fees should not be charged if they do not facility the fluidity of cargo, yet continued to assess charges related to cargo holds, customs holds, and appointment unavailability. *Id.* at 139:17-140:13.

RESPONSE: Denied. Specifically, COSCO denies CPFF102 as to whether any of the 419 (or 319 or 437) containers alleged at issue in this proceeding experienced “cargo holds.” Further denied as to whether any of the containers alleged to be at issue in this proceeding experience gate appointment unavailability at the terminal. Finally, COSCO lacks sufficient information to either admit or deny whether VCC experienced any Customs’ holds on any of the 419 (or 319 or 437) containers alleged to be at issue in this proceeding.

103. If excess empties caused terminals to restrict return appointments such that only a select few shippers could return containers, COSCO still applied demurrage fees to all shippers unable to secure an appointment. *Id.* at 127:18-128:12.

RESPONSE: Denied. Broadly denied, as VCC has not alleged that any of the 419 (319 or 437) containers alleged to be at issue in this proceeding could not be returned timely because excess empties caused terminals to restrict return appointments. Also denied that as related to the return of empty containers, detention (not demurrage as Complainant suggests) is a potential charge. Admitted inasmuch as consignees such as RIM are also shippers, shippers are responsible for the return of empty containers. In the event of a gate closure at a terminal (i.e. a complete shutout of zero appointments that day for anybody to return empty containers), COSCO would receive notice of the gate closure from the Terminal and would “black out” the dates of the gate closure and not bill the customer. CX799, Takase Dep. at 128:1-7. If the terminal gates are open and accepting appointments for the return of empty containers, COSCO has *zero visibility* into which customers were able to secure an appointment, and which ones were not. *Id.* COSCO is physically incapable of ensuring that detention fees are not being assessed on containers when there are no appointments available, but the gate remains open because COSCO is “not sure which customers were able to obtain an appointment, and which ones were not.” CX798, Takase Dep. at 127:18-128:12. COSCO outright denies that it applied demurrage fees to “all shippers unable to secure an appointment.” COSCO is “open to review any scenario” where a dispute is submitted detailing the inability for a trucker to return an empty container or to pick up a loaded container. CX767, Takase Dep. at 96:4-17. The submission of a document showing a lack of appointments could be another reason to warrant the refund of detention charges,

such as a screenshot from the terminal system stating that appointments were not available. CX767, Takase Dep. at 96:18-22. COSCO may consider “significant congestion” in the terminal as a valid dispute reason, but a dispute must be submitted for COSCO to consider the circumstances. CX768, Takase Dep. at 97:2-14.

104. COSCO even adds demurrage fees if a customer chooses to pay by check, rather than through COSCO’s preferred system, since checks take longer to process. *Id.* at 126:8-21.

RESPONSE: Admitted. Because checks take longer to process and because COSCO is charged by the terminal for storage of loaded containers and passes these charges onto the customer until a loaded container is out-gated, payment by check delays release of the container because it requires manual processing and time to clear. Payment by methods are quicker and will not result in release delays. CX797, Takase Dep. 126:5-7.

105. If COSCO had an operational delay issuing a final invoice to VCC, then COSCO still would not extend free days. App’x at CX 1205 (COSCO_000398-9).

RESPONSE: Denied. The bill of lading numbers referenced on CX 1205 (COSCO_000398-9), 6297731601, 6297731500, 6297728480, are not listed anywhere on Complainant’s spreadsheet of alleged shipments CX1221-CX1237, and do not relate to any of the 419 (or 319 or 437) containers alleged to be at issue in this proceeding. Moreover, generally speaking, if an internal COSCO error or operational error occurs, COSCO adjusts or extends detention or demurrage free time. CX813, Takase Dep. at 142:22-6.

106. COSCO’s charges to VCC are not supported by either of the two prongs stated by the World Shipping Council as the costs that need to be covered by demurrage and detention. With no such real costs, the amount charged is profit and a windfall to COSCO. App’x at CX 533

(McCown Report) ¶ 23.

RESPONSE: Denied. First, this is a legal argument, not a statement of fact. Second, there is no evidence to show COSCO charged anything to VCC. Finally, the World Shipping Council is not a party to this proceeding.

107. Additionally, the amount of detention and demurrage COSCO charged VCC was eight times the industry ratio for detention and demurrage income to revenue. *Id.* at 553 ¶ 65.

RESPONSE: Denied. Complainant's source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry. As this table from Respondent's Expert Witness Daniel Hackett demonstrates, the reverse is true, with COSCO's demurrage and detention collections as a percentage of revenue approximately one quarter of his calculation for the industry in 2020 and one third of his calculation for the industry in 2021. RX84, Hackett Rpt. at 44 (Exhibit 35) (reproduced below).



108. This is corroborated by data proving that during the relevant time period COSCO charged VCC detention and demurrage approximately 161% more often than the shipping

industry average. *Id.* at 554 ¶ 67.

RESPONSE: Denied. Respondent incorporates by reference its response to CPFF107.

109. Regardless of whether COSCO was responsible for the conditions that led to VCC's detention and demurrage fees, its detention and demurrage practices still violated the incentive principle because VCC was consistently prevented from picking up cargo or returning empties within the allotted time. *Id.* at 533 ¶ 24.

RESPONSE: Denied. Mr. McCown himself disagrees with this statement. CX201 (McCown Dep.) at 98:9-19. § [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]
[REDACTED] [REDACTED] [REDACTED]-[REDACTED] RX176-RX191 (NSA May 2020-April 2021 and NSA May 2021-April 2022).

110. “It is apparent from a review of the specific facts related to COSCO that during the relevant periods in 2021 and 2022 when it shipped the VCC loads that neither of the two prongs of costs that the WSC claims provides justification for per diem charges existed and that COSCO had virtually no actual costs associated with such billings. This fact makes those charges even more unreasonable on top of the fact they are fundamentally unsupportable because VCC was not the responsible party and as such the charges by COSCO were a direct violation of the incentive principle.” *Id.* at 546 ¶ 53.

RESPONSE: Denied. Complainant's source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. This is made abundantly clear in Mr. Hackett's Rebuttal Report. RX57-RX63, Hackett Rpt. at 17-23. The World Shipping Council (WSC) is not a party to this proceeding.

111. A clear pattern emerged that showed VCC was precluded from returning

empty containers to COSCO terminals through no fault of its own and solely due to those terminals not being able to accept such empty containers. App'x at 191 (McCown Dep.) 88:2-7; McCown Report Section V. That responsibility lies squarely with COSCO whose actions thwarted the incentive principle. VCC's use of an intermediary did not affect that responsibility, and it is equally clear that this intermediary had no incentive to do anything other than return the empty containers at the earliest available time.

RESPONSE: Denied. Mr. McCown could not have observed any "pattern" as he did not review evidence as to why any of the 419 (or 319 or 437) containers alleged to be at issue in this proceeding were not timely returned to the terminal. CX 255, McCown Dep. at 152:14-20 ("I'm guess[ing] some of [VCC's] really bad experiences are situations where their load was just at the bottom of the stack...but I don't have --- I don't have granular information into each and every load."). Nor did VCC allege which terminals were in question in this proceeding. COSCO does not "control terminals." RX88, Hackett Rpt. at 48. VCC has not proven that "COSCO terminals" were relevant to the charges they alleged they paid. VCC did not allege nor is there any evidence to show why the 419 (or 319 or 437) containers alleged to be at issue in this proceeding were not returned empty to the terminal. Furthermore, VCC alleges that the majority of the charges for the containers were for "storage." There is no evidence that VCC or RIM ever paid COSCO or anyone else.

112. COSCO's use of VIP Accounts further illustrates the disconnect from the incentive principle and its detention and demurrage practices because nearly all of COSCO's largest retail customers were granted contractual reprieve from such charges. App'x at CX 741 (Takase Dep.) 70:10-73:4.

RESPONSE: Denied. Complainant distorts the deposition testimony of COSCO's Tom

Takase. Mr. Takase never said that “nearly all of COSCO’s largest retail customers were granted contractual reprieve” for detention or demurrage charges. Instead, Mr. Takase stated that “some contract terms” for some of the VIP customers could include “extend[ing] the free day.” CX744, Takase Dep. at 73:2-4. Moreover, COSCO’s use of VIP accounts in no way violates the incentive principle nor the FMC’s interpretive Rule on Demurrage and Detention.

113. COSCO cannot claim that its detention and demurrage practices were reasonable to incentivize the movement of cargo when it on occasion completely waived charges for its largest clients. *Id.*

RESPONSE: Denied. CX734, Takase Dep. at 63:3-12.

VIII. VCC’S DAMAGES ARE CALCULATED ON A CONTAINER-BY-CONTAINER BASIS

114. Both in general discovery and via expert analysis, VCC has supported its claims against COSCO with specific analysis applicable to each of the 419 containers at issue. *Id.* ¶ 77, Table 13.

RESPONSE: Denied. VCC cites to the deposition of Tom Takase for this assertion, which does not support this purported fact. Further denied that there are “419 containers at issue” as that number has fluctuated from the start to the finish of this proceeding.

115. Any attempt by COSCO to claim that damages should only be assessed on an invoice-by-invoice basis should be rejected as disingenuous. COSCO is well aware that between time and the typical way such invoices are processed that it is virtually impossible to reconstruct specific details related to any invoice and would be inefficient even if such information was obtainable. *Id.* ¶ 79. This is particularly true given COSCO’s continual delays and objections to production of relevant correspondence throughout discovery. App’x at CX 559 (McCown Report)

¶ 81. COSCO has only provided copies of arrival notices of 143 inbound 40 foot containers from January, 2021 to June, 2022, almost all of which were going to Long Beach. *Id.* Those represent just 7.8% of total shipments and less than one-half of the shipments for which accessorial charges were paid. *Id.* Similarly, it provided a long string of emails beginning on April 9, 2021 and ending on May 21, 2021 when COSCO agreed to waive accessorial charges on three loads totaling \$9,150. *Id.* That amount is 0.79% of the total of such charges paid by VCC. *Id.*

RESPONSE: Denied. These are legal arguments, not statements of fact and cannot support any calculation of any amount claimed for reparations.

IX. LIABILITY AND DAMAGES

116. VCC was responsible for the accessorial charges levied on its by COSCO because the congestion at COSCO's terminals during the pandemic precluded VCC from being able to pick up loads or return empties was not caused by VCC. App'x at CX 532 (McCown Report) ¶ 21.

RESPONSE: Denied in part. VCC lacks sufficient information to admit or deny who was "responsible" for any alleged accessorial charge. Denied as to any allegation that COSCO ever invoiced VCC. Further denied that "congestion" precluded VCC from being able to pick up loads or return empties. Mr. McCown asserts that VCC was unable to timely pick up or return containers on 419 of the 1,844 containers that it moved on COSCO in 2021 and 2022. CX548, McCown Rpt at 23. in 2021 and 2022 It was therefore able to timely pick up and return 1,425 such containers. Clearly, therefore, it was possible to timely pick up and return the majority of VCC's containers in 2021 and 2022. Rather, evidence of its own mismanagement may explain why VCC could not have timely performed these tasks for some (not all) of the containers it allegedly imported. Further denied that there are any

“COSCO terminals.” RX88, Hackett Rpt. at 48. Furthermore, COSCO was not responsible whatsoever for the congestion at the terminals. Instead, VCC or RIM was responsible for picking up VCC’s loaded containers and returning the empties, tasks which they failed to properly manage.

117. COSCO had knowledge of all the tactics and strategies regarding its vessel underutilization and detention/demurrage fees because it internally tracked data related to the same throughout the relevant time period. App’x at CX 795 (Takase Dep.) 124:3-21.⁴

RESPONSE: Denied. Complainant again mischaracterizes the deposition testimony of Mr. Takase. COSCO was operating “near [100 percent] or high 90 percent” capacity utilization on routes from Asia to North America in 2021 and 2022, meaning that COSCO was taking advantage of full utilization of the container space on board the vessel whether loaded containers or empty containers. CX783, Takase Dep. 118:2-14. Indeed, tracking and reporting this data is required, as it must be provided to it a quarterly basis to the FMC as part of its Vessel-Operating Common Carrier audit program. See <https://www.fmc.gov/detention-and-demurrage/#detention-and-demurrage-data> (last visited November 29, 2024).

118. The very basis of container shipping is that the carrier charges the shipper for, and is fully responsible for, all logistical steps and processes until the container reaches its destination. App’x at CX 533(McCown Report) ¶ 28.

RESPONSE: Denied. Complainant’s source for this fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony

⁴ COSCO failed to produce documents related to its internal system for tracking detention and demurrage data, despite VCC’s request to do so.

should be afforded no persuasive weight. {REDACTED}

{REDACTED}

{REDACTED} E.g., RX28 (COSCO_001879).

119. COSCO admits it should have chartered additional vessels to respond to terminal congestion. *Id.* at 131:13-6.

RESPONSE: Denied. Notably, Complainant does not cite to any COSCO witnesses or documents for this assertion. Instead, Complainant's source for this purported fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. At any rate, COSCO did charter many vessels which it brought in both to meet demand of its customers for capacity from Asia to the United States and to evacuate empty containers most efficiently using sweeper vessels. CX802, Takase Dep. at 131; RX91, Hackett Rpt at 51.

120. COSCO specifically charged VCC fees at a rate significantly higher and more frequently than it was charged by the rest of the industry. *Id.* at ¶ 32.

RESPONSE: Denied. Notably, Complainant does not cite to any COSCO witnesses or documents for this assertion. Instead, Complainant's source for this purported fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. McCown's assertion that COSCO's rates were higher than those of other ocean carriers is wrong. Indeed, COSCO's rates were lower than its competitors. RX59, RX63, RX77, Hackett Rpt. at 18; 23; 37. There is no evidence to show COSCO ever charged VCC any fees whatsoever. Any demurrage or detention daily rate is assessed according to its published tariff rules. Further, COSCO's demurrage and detention rates were lower than industry average. RX71-RX76,

Hackett Rpt. at 31-36.

121. The significant differences between charges assessed to VCC and the industry standard can only be explained by “selective application of billing practices.” *Id.* ¶ 70.⁵

RESPONSE: Denied. Notably, Complainant does not cite to any COSCO witnesses or documents for this assertion. Instead, Complainant’s source for this purported fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. McCown does not present any data to support his assertion, and his assumptions and calculations are faulty. RX37-RX-105, Hackett Rpt., *passim*.

122. COSCO is liable for the overcharges described herein because the charges were due to COSCO’s failure to properly manage its terminal operations at the macro level and its selective billing practices against VCC at the micro level. *Id.* ¶ 76.

RESPONSE: Denied. Notably, Complainant does not cite to any COSCO witnesses or documents for this assertion. Instead, Complainant’s source for this purported fact, John McCown, is not qualified to serve as an expert regarding the modern commercial shipping industry, and his testimony should be afforded no persuasive weight. COSCO had no authority or power to “manage” terminal operations “at the macro level” or any level. RX88-RX89, Hackett Rpt. at 48-49. There is no evidence that COSCO “selectively billed” VCC “at the micro level” or, indeed, at all.

123. Further, COSCO lacked a meaningful dispute resolution process that allowed VCC to dispute the contested detention and demurrage charges.

⁵ COSCO did not produce or even search for communications relevant to VCC’s containers in its dispute emails despite the presiding officer’s order to do so.

RESPONSE: This is a legal conclusion. Inasmuch as any assertion of fact is made by CPFF123, denied that COSCO's published dispute resolution process was not "meaningful."

124. VCC seeks an order requiring Respondent to pay Complainant reparations for the unlawful conduct described above, along with interest and Complainant's attorney fees, interest, and costs as described in 46 U.S.C. § 41305 (in due course), a cease and desist, and any other relief FMC deems just and proper.

RESPONSE: Admitted that Complainant seeks the enumerated relief; denied that Complainant has demonstrated entitlement to such, as it has proven no violation of the Shipping Act, no causation arising from that alleged violation, nor that it is entitled to any particular or general reparations.

DATED: December 6, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 6th day of December 2024, a true and correct copies of the foregoing **Respondent COSCO's Responses to Complainant Visual Comfort & Co's Proposed Findings of Fact** was served by electronic mail on all counsel of record in accordance with 46 C.F.R. Part 502 and the Commission's Order of May 12, 2020 as follows:

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